Komodos

Investment Policy Statement

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Investment Strategy Elevator Pitch

We protect the residency's annual payments, grow money that remains uncommitted, and back Laura's sponsor promises before she makes them. By separating required payments from her discretionary building gift, we seek reliable support for the residency, a credible contribution range and flexibility as her plans develop.

Investment Policy Statement

Laura's ambition is to create a lasting community for artists, writers and entrepreneurs. Our strategy protects the annual support that community requires while pursuing a responsible building contribution. Her willingness to take thoughtful risks supports growth investing, but her commitments and reputation determine where that risk belongs. Living expenses are covered outside this portfolio.

We separate funding for ten fixed annual $50,000 payments from 2033 through 2042 from the Gift Portfolio supporting the building contribution. Starting with the 2027 contribution, we prioritize investments whose dollar payments arrive before the annual bills. The 2028 contribution first completes or repairs this protection; only the verified surplus enters the Gift Portfolio. We invest only money received and never rely on borrowing, stock gains or outside sponsors to meet operating payments.

We seek high funding certainty through sufficient cash at every payment date under conservative assumptions about costs, timing and fund proceeds. Treasury repayments and interest form the foundation. Treasury funds may help bridge maturity gaps, but their payouts are estimates, not fixed promises. We test adverse outcomes and retain a cushion for uncertainty rather than claim a guarantee. Fixed dollar obligations guide operating protection; rising prices remain relevant to the building gift's purchasing power.

Through 2030, the Gift Portfolio targets 40% global stocks and 60% US Treasury bonds nearing repayment, funds holding those bonds, or cash. We spread stock ownership across countries and

industries rather than concentrate in businesses resembling Laura's career. A bad market before the 2031 announcement could reduce the contribution she can credibly offer; this restrained mix limits that exposure while seeking growth. We review annually, repair operating shortfalls first and restore the target mix. These Treasury holdings can fluctuate in price; they are not interchangeable with cash.

Before Laura approaches sponsors in 2031, we recheck operating coverage and costs. We then allocate 75% of the remaining Gift Portfolio to cash; the amount after costs backs the lower end of her contribution range, assuming no interest. The remaining 25% stays unpromised under the 40/60 investment mix. These percentages express our balance between commitment and flexibility, not a confidence level.

We evaluate confidence that the actual gift falls between both ends of the communicated range, using favorable and unfavorable scenarios and disclosing assumptions. The upper end reflects market uncertainty and our spending limits. If operating protection weakens before the gift is paid, unpromised assets meet the shortfall first; if insufficient, the building budget falls and sponsors receive an updated range.

In 2033, Laura sets aside the operating reserve, the money funding all ten annual payments, before making the first payment and deciding the building gift. The cash backing is the intended base gift, subject to operating coverage. Extra giving above this base is capped at gains in the portion left unpromised in 2031 and remains subject to fresh funding and flexibility checks. Unpromised capital can lose value. Thereafter, upcoming payments remain in cash, later matched holdings supply later bills, and annual reviews check remaining coverage as the reserve declines.